

FREE BONUS

Pricing Guide for Profit

How to price your handmade table settings

Undercharging is the #1 reason crafters burn out. This guide gives you proven pricing formulas, market data, and scripts for handling "that's too expensive" — so you get paid what your work is worth.

The Pricing Formula

The standard formula for handmade goods that covers costs and delivers profit:

Wholesale Price = (Materials + Labor + Overhead) × 2

This is your floor. Never sell below wholesale — not even to friends and family.

Retail Price = Wholesale × 2 to 2.5

This is what you charge on Etsy, at craft fairs, and to direct customers.

How to Calculate Each Component

Materials: Track the exact cost of canvas, cord, glue, and any finishing materials per piece. Use the Supplier List bonus for best prices.

Labor: Pay yourself at least \$15–20/hour. Time yourself making 3–4 pieces, then use the average. Include setup and cleanup time.

Overhead: Add 15–20% for tools that wear out, electricity, packaging, photos, listing fees, and other indirect costs.

Worked Example: Set of 4 Round Placemats

Component	Calculation	Cost
Materials	Canvas (\$2) + Cord (\$3.20) + Glue (\$0.50)	\$5.70
Labor	45 min × 4 pieces = 3 hours × \$18/hr	\$54.00
Overhead	15% of (materials + labor)	\$8.96
Total Cost		\$68.66
Wholesale Price	$\$68.66 \times 2$	\$137.32
Retail Price	$\\$137.32 \times 2$	Not realistic

Reality check: At \$18/hr labor, the formula gives a retail of \$275 for a set of 4 placemats — too high for most markets. The fix? Increase speed through practice (goal: 25–30 min per placemat) and buy materials in bulk. At 30 min/piece and bulk pricing, the set retails at \$85–\$95.

Market Price Ranges (2024–2025)

Based on sold listings on Etsy and craft fair surveys. These are retail prices.

Product	Budget	Mid-Range	Premium
Round Placemat (set of 4)	\$18–\$25	\$30–\$45	\$50–\$80
Square Coasters (set of 6)	\$12–\$18	\$20–\$30	\$35–\$55
Table Runner	\$35–\$50	\$55–\$80	\$90–\$150
Napkin Rings (set of 6)	\$15–\$22	\$25–\$35	\$40–\$60
Bread Basket	\$25–\$35	\$40–\$55	\$60–\$90
Trivets	\$15–\$22	\$25–\$35	\$40–\$55

Where you land depends on: material quality, craftsmanship, branding, photography, and your target customer.

What Moves You from Budget to Premium?

1. **Material upgrade** — Premium cotton cord vs. basic jute = instant quality jump
2. **Packaging** — Custom boxes with tissue paper signal "gift-worthy"
3. **Photography** — Styled table shots with food, candles, flowers (not bare product on white)
4. **Branding** — Consistent name, logo, care cards, social media presence
5. **Story** — Handmade by [you], using [specific materials], inspired by [something real]
6. **Sets & bundles** — "Complete Table Setting" (placemats + runner + coasters + napkin rings) at 15% off individual prices

Pro tip: The jump from budget to mid-range is mostly packaging and photography — the product itself barely changes. Invest \$50 in a simple photo setup (natural light, linen backdrop, props from your kitchen) and your perceived value doubles.

Handling "That's Too Expensive"

This will happen. Here's how to respond without feeling defensive:

"Compared to what you'd pay at [store]?"

Redirect to the comparison. Mass-produced placemats from Target cost \$15-20 for a set but look generic, use synthetic materials, and fall apart. Yours are handmade, unique, and last years.

"This set takes me [X] hours to make by hand."

People underestimate the time. When they hear "3 hours of handwork," the price suddenly makes sense. Don't apologize — state it as a fact.

"I also have [smaller item] starting at \$[lower price]."

Always have a lower-priced entry point. Coasters at \$12-18 convert browsers into buyers, and they often come back for the bigger pieces.

Pricing for Different Channels

Channel	Pricing	Notes
Etsy	Full retail + shipping	Factor in 6.5% Etsy fees + payment processing
Craft Fairs	Full retail, cash discount optional	Booth fee (\$50-200) is overhead, not per-item
Instagram / Direct	Full retail, free local delivery	No platform fees = higher margin
Wholesale to Shops	50% of retail	Must be profitable at this price or don't wholesale
Custom Orders	Retail + 20-30% custom premium	Custom = more back-and-forth time, charge for it



Next step: Calculate your cost per piece for 3 different templates, then set your prices using the formula.